

UNIT 1: BASIC CONCEPTS OF ECONOMICS AND ALLOCATION OF RESOURCES

1. Introduction

- **Economics** is a *social science* that studies how people and societies use limited resources to satisfy unlimited wants.
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2. Origin and Development of Economics

1. **Classical Period (1776–1890)** – Adam Smith, Ricardo, Malthus
 2. **Neo-classical Period (1890–1932)** – Alfred Marshall, Pigou
 3. **Modern Period (1932 onward)** – Keynes and others
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3. Definitions of Economics

A. Adam Smith (Science of Wealth)

- **Main Ideas**
 - Study of wealth and its causes
 - Economic man (self-interest)
 - Importance of wealth in prosperity
 - **Criticisms**
 - Too much focus on wealth
 - Neglects human welfare
 - Unrealistic “economic man” concept
 - Narrow scope of economics
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B. Alfred Marshall (Science of Material Welfare)

- **Main Ideas**
 - Study of mankind in ordinary business of life
 - Focus on *material welfare*
 - Economics as a *social and normative* science
- **Criticisms**
 - Vague concept of welfare
 - Narrow scope (only material welfare)
 - Classificatory, not analytical
 - Ignores positive aspect

C. Comparison: Smith vs. Marshall

Basis	Adam Smith	Alfred Marshall
Focus	Wealth	Human welfare
Approach	Economic man	Ordinary person
Source of Wealth	Labour	Labour + other resources
Main Concern	Wealth creation	Wealth consumption & distribution

D. Lionel Robbins (Science of Scarcity and Choice)

- **Main Ideas**
 - Unlimited wants, limited resources
 - Resources have alternative uses
 - Economics = *science of choice*
 - Positive and universal
 - **Criticisms**
 - Ignores welfare
 - Self-contradictory
 - Doesn't explain overproduction problems
 - Too theoretical
 - **Superiority**
 - Analytical, universal
 - Explains scarcity and choice
 - Defines true scope of economics
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E. Marshall vs. Robbins

Basis	Marshall	Robbins
Nature	Normative	Positive
Scope	Social welfare	Scarcity & choice
Type	Classificatory	Analytical
Focus	Welfare	Resource use

4. Positive and Normative Economics

Positive Economics	Normative Economics
Describes "what is"	Describes "what ought to be"
Based on facts, cause & effect	Based on values, ethics
Realistic approach	Idealistic approach

5. Microeconomics and Macroeconomics

Microeconomics

- Study of **individual units** (consumer, firm, industry)
- Focus: Price, demand, supply, cost, resource allocation

Importance:

1. Understands functioning of the economy
 2. Helps policy-making
 3. Studies human behavior
 4. Ensures efficient use of resources
 5. Useful in trade analysis
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Macroeconomics

- Study of **economy as a whole**
- Focus: National income, employment, inflation, growth

Importance:

1. Understands overall economic performance
2. Helps in policy formulation
3. Useful for international comparison
4. Measures growth and stability

Difference between Micro and Macro

Basis	Microeconomics	Macroeconomics
Definition	Study of individual units	Study of whole economy
Scope	Consumer, firm, industry	National income, output, employment
Objective	Resource allocation	Full employment, price stability
Nature	Narrow	Broad

6. Goods and Services

- **Goods:** Tangible things (e.g., food, clothes)
- **Services:** Intangible (e.g., teaching, banking)
- Both satisfy human wants.

Types of Goods:

1. **Normal goods** – Demand ↑ when income ↑
 2. **Inferior goods** – Demand ↓ when income ↑
 3. **Giffen goods** – Demand ↑ even when price ↑
 4. **Substitute goods** – Used in place of another (tea–coffee)
 5. **Complementary goods** – Used together (car–petrol)
 6. **Private goods** – Owned by individuals, rival in use
 7. **Public goods** – Provided by government, non-rival (road, park)
 8. **Economic goods** – Have value, limited supply
 9. **Free goods** – Abundant, no price (air, sunlight)
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7. Factors of Production

Factor	Meaning	Reward Features (Key Points)
Land	Natural resources	Rent Free gift, limited, immobile, passive
Labour	Human effort	Wages Active, perishable, mobile, weak bargaining
Capital	Man-made goods for production	Interest Man-made, mobile, temporary, dependent on tech
Organization	Coordination of all factors	Profit Organizer, risk-taker, planner, innovator

Quick Summary for Revision

- **Smith → Wealth, Marshall → Welfare, Robbins → Scarcity & Choice**
- **Positive → What is, Normative → What ought to be**
- **Micro → Individual, Macro → Whole economy**
- **Factors of production → Land, Labour, Capital, Organization**